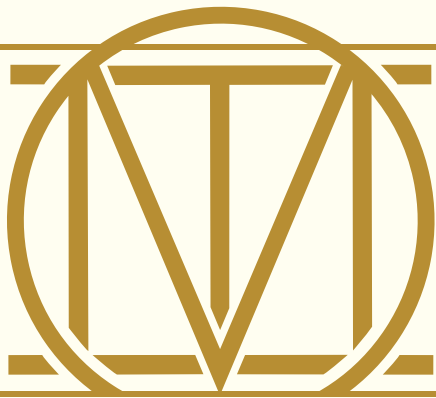




NEWS & VIEWS

MARITIME INDUSTRIAL SERVICES | MAY 2010 | VOLUME 2



...On the Right Path Forward.



A word from the Managing Director

Welcome to our second issue of 'News & Views' in 2010. It has been a dynamic period for MIS as our value streams worked towards MIS' strategic goals through building backlog and stronger client relationships.

The push for change was set into motion in 2008 and coincided with significant changes to MIS' Management System. Our strategy has delivered some initially encouraging and tangible results and sees MIS delivering a strong net profit at the close of our financial year 2008. This was achieved despite a difficult year for the economy and the pressure on the industry we operate in. (Since the last issue of 'News & Views', MIS reported its FY 09 results)

Restructuring the company according to value streams allowed each of their leaders to exercise stronger control on their respective business units and to maximise margins. To further support MIS' positioning of delivering an integrated range of innovative services to the oil and gas and energy sectors, MIS launched a new business unit – Energy Projects International (EPI), which will focus on EPC and EPCM projects in markets such as Abu Dhabi, Saudi Arabia, Qatar and Oman.

Last but not least, we entered our second year of the Balanced Scorecard scheme. Each member of MIS' almost 800-strong staff team is today aligned to a specific scorecard for their value stream to ensure that everyone is rowing in the same direction. To complement this, a targeted scorecard was also created for the almost 3000+ field team. 'Performance Management' which is at the core of MIS' Management System, has also undergone some considerable changes with all of MIS' most senior executives undergoing a 360° appraisal aimed at developing a meaningful and future-ready succession team.

All this is in line with MIS' strong emphasis on 'development'. Now more than ever, change for development and growth is the unwavering theme at MIS. We continue to develop our people. We continue to nurture the strengths of our resources and we continue to build our group backlog towards delivering our 2013 strategic goals. As always, I am confident that with the support of our clients, partners, shareholders, board of directors and our large base of dedicated employees, we are well on the way to meeting these goals.

Kevin J. Hudson
Managing Director

In this issue | On the right path forward

MIS delivers great results in FY09 as all eyes remain on 2013 Strategic Goals



FY09 Final Results

Since our last issue of 'News & Views' MIS posted its FY09 results. MIS' ability to deliver US\$ 29mn in net profit last year, despite the global economic crisis, is a result of the immense changes our company has committed to in the past two years. Becoming a US\$ 1bn company with \$100mn net profit by the year 2013 remains our goal for the coming three years.

Another tangible result of this ambitious strategy was our ability to diversify revenue-spread across value streams with specific growth coming from our core business. In fact we signed our biggest contract ever in 'Refurb' for NDC Rig Al Bzoom.

Balanced scorecard - Year 2

The Balanced Scorecard, introduced in 2008, has also helped to ensure MIS' value streams and enablers are aligned to company objectives and had a strong effect on reducing costs.

MIS is also becoming a 'Visual Workplace' organisation and evidence of this is seen across the company's yard in Sharjah with fantastic results which you can read more about in the newsletter.

Upgrading systems, Developing people

To support our goal of becoming 'future ready', we are upgrading our IT infrastructure, starting with a revamp of MIS' networking and server structure, covered in detail on the IT page.

MIS is also living up to its core value of 'investing in the development of its people' with the Executive Development Programme now in its second year. We have introduced a '360° appraisal process' for senior executives and the second wave of the Six Sigma Green Belt programme takes place this month.



Energy Projects International (EPI)



Energy Projects International is launched

MIS recently launched Energy Projects International (EPI), a business unit tasked with growing EPC (Engineering, Procurement and Construction) and EPCM (Engineering, Procurement and Construction Management) projects outside the Northern Emirates.

EPI is headed by Executive Vice-President, Mr. Murugesu Ramachandran or 'Ram', as he is more commonly known. The new unit will initially focus on targeting projects in key markets such as Abu Dhabi, Saudi Arabia, Qatar and Oman. Mr. Ramachandran is a veteran of the oil and gas industry with over 35 years of international experience in major EPC projects both onshore and offshore.

The growing EPI team

EPI's team is fast growing with a mix of MIS veterans as well as new team members. With Ram at its helm the team now consists of Emad Elatraby - Area Manager Oman (part time), Mahmoud Saleh - Project Manager and new team members Dr. Ahmad Kurdali - Engineering Manager, Fred La Manna - Estimating Manager and Amorita DeCunha – PA. Suresh Kumar, also joins the team in the role of Office Administration. Engineering is core to the success of EPI and Dr. Ahmad Kurdali will focus on establishing the Engineering capability to be seen as a differentiator in the EPC \ EPCM market place, with his career spanning over 30 years in engineering.



AUS-Wharton Global Consulting Practicum benefits EPI

For more than 30 years, MBA students of the prestigious Wharton School at the University of Pennsylvania have developed their consulting skills by participating in the Global Consulting Practicum (GCP).

In a first for the GCC countries, an MBA team from the American University of Sharjah (AUS) partnered with a group of MBA students from Wharton's San Francisco campus to develop a market expansion plan for MIS focusing on EPI. The MIS team consisted of Murugesu (Ram) Ramachandran as the primary client supported by Ossama Bader and Rana Said. In May, the students along with members of the MIS team, gathered in Philadelphia to hear the recommendations. Following the presentation, Ram commented, "We were very impressed with the level of understanding that the students illustrated of what is a fairly complex industry. The proposal they have presented will be beneficial to MIS."



Continued success with projects in Kuwait

MIS Kuwait continues to build on its great start to the year 2010. The company is busy supplying a wide range of premium quality drilling and rotating equipment along with various sizes of down hole tools from their API approved Machine Shop. This will help to fulfill the overall demand of the oil industry in the region.

MIS Kuwait's product range includes the supply of new and redressed stabilisers of different sizes including both welded blade and integral blade models for customers such as Anadrill, Nabors Drilling, Borgan Well Drilling and UPDC.



MIS Kuwait's Fabrication Division recently received two orders from Halliburton Iraq for designing and fabricating eight mobile acid tankers and four pieces of 2560 cubic foot cement silos as per ASME standards.

MIS Arabia

SABIC technical meeting (STM-9) exhibition

MIS Arabia participated in the STM-9 exhibition, which was held in Jubail in April. This exhibition was organised by SABIC, one of the largest petro-chemical producers in the world and several petro-chemical companies, EPC contractors and process licensors also participated.



Facility expansion – Phase 3 launched

Mr. Khalid Al Shoabi, Chairman, MIS Arabia Board, officially inaugurated the facility expansion, Phase-3 in March. The event was attended by other board members including Mr. Jerry Smith and Mr. Amr Bin Halim, as well as Mr. Mazen Shaat, CEO & General Manager, and MISA senior management.

The Phase-3 expansion includes a newly-covered 6000m² workshop, a post-weld heat treatment furnace measuring (9m x 24m), a blast room and a paint shed. As part of the expansion and to cater to more projects, MIS Arabia also secured 30,000m² in Jubail Port. This yard is suitable for the fabrication of heavy modules such as MED & MSF for desalination plants, offshore structures, tie-in spools and more.

Newly awarded and ongoing projects

9 large Columns for Jubail Export Refinery, which includes Xylene Re-run with 8.8m diameter and 95m long, weighing approximately 1500 tons.



- 18 medium Columns for Technip, Italy for Jubail Export Refinery
- 5 KO Drums for Yanbu Export Refinery
- Convection Section for Fired Heater for Sasref
- Fuel Gas Skid for Manifa Project
- Scraper Traps with handling System and Jib Cranes for Saudi Aramco
- Shell & Tube Heat Exchanger for Ibn-Zina / SABIC.
- 3 Slug Catchers for Karan project for Saudi Aramco (103 + 3mm Inconel 625)
- 1 Deaerator with Storage Tank for Karan Project for Saudi Aramco.

MIS celebrates three years without LTI

The MIS team at DPE Offshore (Fateh and SWF Fields) celebrated three years without LTI by completing approximately 2.5 million man-hours without losing a single work day. It is considered a remarkable achievement as part of the contract with DPE. Mr. Mohammed Kunhi, Vice President, O&M Services and Mr. Mohammed Ali, Manager, O&M Services, visited both offshore fields on 18th March to celebrate with the DPE Offshore Leadership team.



MIS presents the certificate for three years without LTI at the DPE Fateh field on 18th March.

Mr. Sidney Mendes, DPE-HSE Advisor, Mr. David Kittrell, Fateh-OIM, Mr. Paul Taylor, FMM Foreman, Mr. Mohammed Kunhi, Vice President, O&M Services and Mr. Mohammed Ali, Manager, O&M Services.

MIS presents a plaque for three years without LTI at the DPE SWF Field on 18th March.

Mr. Rama Rao, Superintendent, SWF Complex, Mr. Mohammed Kunhi, Vice President, O&M Services, Mr. Mohammed Ali, Manager, O&M Services, Mr. Fayyaz Ahmed, Maintenance Foreman, DPE, Mr. Hassan Mubarak, SWF, OIM, Mr. T.K. Shankar, FMM Foreman and Mr. R. Anandaraman, Superintendent, SWF Satellite.



MIS Crew at DPE Offshore Fields

New Build



MIS loads-out First Energy Bank's Hull 109

Fifth rig successfully loaded out at MIS

MIS announced the load-out and naming of First Energy Bank's 'MENAdrill Hercules I' (Hull 109) at a ceremony hosted end of March by First Energy Bank (FEB), the project sponsor and developer of MENAdrill. The event was held at MIS' flagship yard in Sharjah. MENAdrill Hercules I (Hull 109) is one of two rigs contracted for construction at MIS. In December 2009, FEB signed a Management Agreement with Hercules Offshore Arabia, a wholly owned subsidiary of Hercules Offshore Inc. Speaking at the ceremony Mr. Vahan Zanoian, CEO, FEB, said, "It made absolute sense to partner with MIS and Hercules as they have proven themselves time and again to be solid performers."



"This milestone is significant to MENAdrill and to MIS. We look forward to building on the strong relationship with First Energy Bank and its partners."
- Mr. Kevin Hudson, Managing Director

National Drilling Company awards Al Bzoom to MIS

In March, MIS signed a contract with Abu Dhabi's National Drilling Company (NDC) for the refurbishment of jack-up drilling rig 'NDC Al Bzoom.' The contract, which is MIS' highest to date in its 'refurb' value stream, will cover the Rig Integrity Assurance Programme (RIAP) as its base scope for the modification and refurbishment work on the rig. The contract was signed by National Drilling Company General Manager Mr. Abdalla Saeed Al-Suwaidi and Mr. Kevin Hudson, MIS Managing Director.



Al Bzoom glides into MIS port yard

Rig NDC Al Bzoom, which is a BAKER MARINE BMC-150-IC design, recently arrived at MIS' port yard, where the refurbishment work will start. The scope will cover several areas within the RIAP programme, including reactivation of the drilling equipment, machinery and auxiliary systems, crane, winches & raw water tower; hull modification, strengthening and conversions among several other key activities. Once completed, NDC plans to use the rig to drill oil wells in Abu Dhabi's offshore oilfields.



MIS Refurb Team

EPC



Gas control station expansion project for DUSUP

The Dubai Supply Authority (DUSUP) awarded MIS a contract for engineering, procurement and construction of the Gas Control Station (GCS) expansion project in Jebel Ali's Industrial Area-I. The project is intended to increase the supply of gas to the LP header and ensure sustained continuous availability of gas to the various consumers of DUSUP.

The project consists of civil, structural, piping, electrical and instrumentation activities. The civil and structural activities are almost complete and major piping activities are nearing completion. Hydro testing will begin shortly. Electrical and Instrumentation activities are half way through. The overall project progress being ahead of schedule and MIS completing 0.33 million man hours without LTI. The project has earned DUSUP's appreciation for MIS safe work culture and approach.

RAK Gas safety awards

In March 2010, Chandra Bhai G. Patel received the the "Safety Man of the Month" award for his exceptional safety performance. Patel joined MIS in 1994 and has been working at RAK Gas Projects as Piping Fabricator since September 2009. He played a vital role in the success of tightly scheduled and complicated tie-in work carried out at RAK Gas Plant in October 2009. During the construction of Bukha Treatment plant Phase-3 & Phase-4, piping had to be installed in a live plant environment where safety had to be considered the top priority. He made significant contributions towards the completion of the Bukha Treatment Plant, Phase-3 project which included excellent productivity and an eye towards keeping safety to the highest standard.



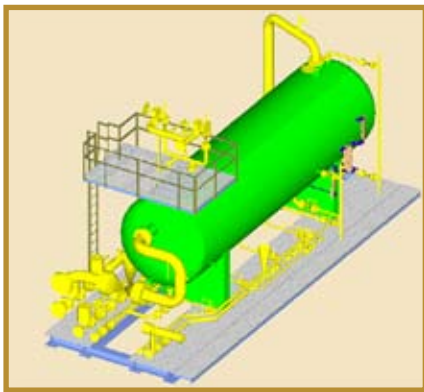
MIS & ENOC employees
Go-Karting in the Autodrome,
Dubai

Fabrication

Fabrication and supply of 5 CS, clad and SS columns for El Merk Project, Algeria

Petrofac had awarded a project for fabrication of 5 CS, clad & SS Columns for El Merk Project, Algeria with the end user being two Sonatrach & Anadarko Algeria (SAA). The project awarded on May 2009 is scheduled for completion by May 2010. The high thickness SS columns are being fabricated for the first time at MIS. All five columns have a large number of internals & internal TSR's. The columns are subjected to stringent quality and dimensional control requirements. Three columns have been successfully tested and delivered to the client for onward shipment to project site.

MIS completed engineering and procurement activities on schedule. On some critical long lead processed items from the vendor, deliveries were delayed. However, MIS was able to execute the order and recover the delays through proactive planning and effective execution.



MIS - Supply of Separator & Manifold Skids to SEPOC, YEMEN

Currently, the project deliverable approval is in progress and procurement of long lead items are in finalising stage. The procurement order placement of all high pressure control components with technical compliance will be finalised during the up coming weeks.

The separator vessels are designed and built in compliance to ASME, Div. I code with the internals per process requirements. MIS has successfully carried-out similar skids supply projects in the past for SEPOC and other clients which will be an added advantage while performing this order.

The complete supply of this project includes structural skid, vessel, piping, instrumentation, electrical installation and ex-works readiness with a forecast completion delivery of 1st November 2010.

Visits & Social Events



Visits & Social Events



Sunbelt

MIS Sunbelt moving forward in the Kurdish Region of Iraq

MIS Sunbelt has now moved into the purpose-built warehouse facility to service its equipment in the Kurdish Region of Iraq. This gives MIS Sunbelt the advantage of putting together spare packages and workshop capabilities to service all contracts, thus reducing costs and increasing efficiency in support of its operations. MIS Sunbelt, have committed to establishing its presence in the Kurdish Region.



As seen below, the new warehouse contains MIS Sunbelt's workshops and hydro-test facilities. The facility and personnel on the ground in the Kurdish Region of Iraq, along with the high calibre of service engineers, are the main reasons why MIS Sunbelt has been successful in being awarded a number of contracts in the area.



Calibrating Breathing Apparatus



Calibrating an H₂S Gas Monitor

MIS Rig Metals



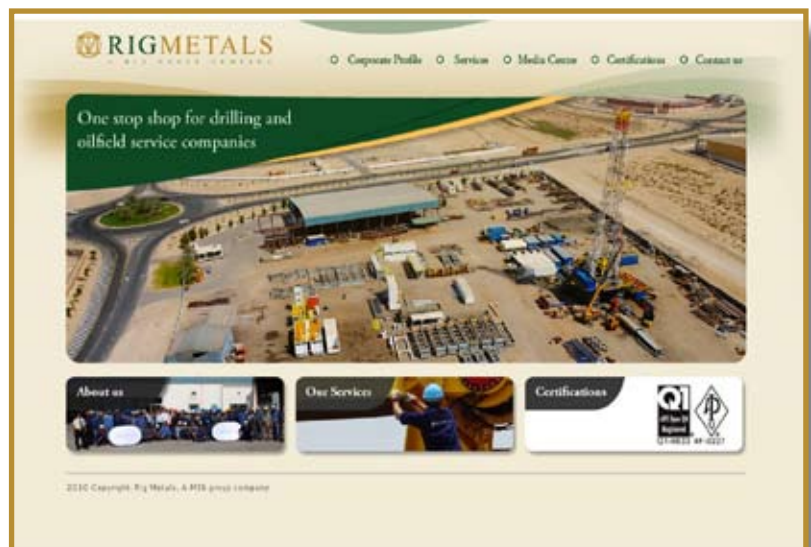
Rig Metals Team



In early March, Rig Metals delivered the first of two fuel tank trailers. This fully autonomous product was designed, manufactured and tested by Rig Metals in only three months, with the second delivered in end March. In full accordance with the client's requirements, this product is 100% custom-made to ensure a high level of efficiency on-site. This project, challenging because of the in-built features, is a complete autonomous package including: filtering system, hydraulic system and storage capacities of 250 bbl.



Rig Metals achieved the certification of a CSC/ DNV Off-shore container frame in February. Such certifications provide flexibility to our clients and ensure that the product aligns with the world's most stringent off-shore standards.



Rig Metals website soon to be launched
Visit at www.rigmetals.com

HSE

MIS recognised for 3 years and 3 Million Man-hours

BP Sharjah Limited presented MIS with a plaque for achieving three years and 3 million man-hours without days away from work. This award reflects the proactive support and adherence of safe work practice by the MIS crew at BP Sharjah.



HSE role exchange programme

All supervisory level employees within the yard took part in a three-day HSE Role Exchange training programme in March 2010. The main objective of the programme is to create a better understanding of HSE functions, duties and responsibilities, by the supervisory level personnel in various departments. Higher awareness of the HSE function helps performers to apply HSE practices effectively and thereby improves HSE activities at the workplace.

This three-day training programme covering theory class and practical training incorporates how to conduct an effective tool box talk, hazard identification, general safety inspection including LPI, risk assessment and mitigation measures, as well as how to identify unsafe acts conditions and precautions.



Safety Awards in MIS Sharjah



QC training drives behavioural change

MIS' QC department has launched a training programme for welders and lead hands as a part of the "Driving Behavioural Change Initiative". The programme is designed to educate welders on the quality aspects of their work. They are also trained on common weld-related defects that can occur and which can be easily identified by the welder. The training session drives home the message that welders must take responsibility for their work.

The programme was kicked off in March by Mr. Hassan Bader QC Manager who conducted the training for the first batch. By April, 23 sessions were conducted for 466 welders and 24 foremen. The aim was to train all welders as soon as possible.



Production team's G. R. Thiagarajan receives first Green Belt Certificate

At MIS' quarterly town hall meeting Mr. Kevin Hudson presented a Green Belt certificate to Mr. G. R. Thiagarajan (Rajan) of the Production Department following his completion of a project on improving welding automation.

Mr. Thiagarajan is one of 13 participants in the first wave of Six Sigma Green Belt Training, an initiative introduced by the QA team and led by Mr. Abderrahim Benrabah, QA Director. Speaking at the town hall, Mr. Hudson said, "The fact that Rajan completed his project on time and with good results is encouraging and shows MIS' commitment to improvement. Congratulations Rajan!". Mr. Thiagarajan's project focused on

defining a standard process in welding automation which resulted in a reduction of approximately 5000 welding man-hours per month. A second wave of the Green Belt training was launched in May.

Visual workplace comes alive at MIS

As part of its strategy for turning MIS into a 'Visual Workplace' friendly company, the QA and Operations teams used the viral Change Management approach to introduce a pilot to the flagship yard's CNC yard cutting area. The pilot was used to build awareness for the idea of a 'visual workplace' as well as a format for training MIS' company-wide team on implementation. The results have been phenomenal and the difference has resulted in more efficiency for the teams working in the selected five areas. MIS' QA and Operations teams are now leading this initiative through the 19 remaining areas within MIS' yard.



Human Resources



MIS a hit at the AUS Career Fair

Over 250 students visited the MIS stand at the American University of Sharjah Career Fair, which took place in April. The visitors to the MIS stand proactively enrolled their names and expressed a desire to be part of the company. MIS promoted the Graduate Development Programme to a number of interested final-year students.



First batch of EDP students on completion of the programme

The second batch of Executive Development Program at American University began this April. With the successful completion of first batch, the next batch of 16 participants ventured for the 6 months Development Programme.



Information Technology

IT Department undergoes major overhaul programme

As a primary enabler to MIS Group's business, MIS' IT department has been going through a period of significant development both in terms of organisation and systems.

At the crux of the IT programme is the complete overhaul of MIS' technology platform to enable the company's technology solutions to become fluid, open and transformational, able to support a \$1 billion organisation. This will deliver an extended technology platform for MIS, designed with and supported by leading technologies and in partnership with global technology leaders. In parallel, the MIS IT team has now been re-organised according to four key pillars or Centres of Excellence: Project Delivery, Programming and Analytics, Front Office, and Back Office. The new structure allows for better, more-focused streamlining of roles and improved alignment of the IT Team's skill set with the new business requirements generated through the overhaul. A campaign was designed to engage and inform MIS' employees as the overhaul was being implemented. At the time of going to press, the overhaul had reached 80% completion.



Bashar Hajhamad joins MIS as Group Head of IT

The upgrade of MIS' existing IT platform is being led by MIS' new Group Head of IT, Bashar Hajhamad. Bashar, who joined MIS in February reporting to VP HR & IT, brings with him over sixteen years of delivering business-driven technology solutions coupled with a solid background in business strategy, organisational development, and management leadership. Bashar's previous assignments were predominantly in the U.S. where he worked for multi-billion dollar Fortune 500 companies across several sectors. Bashar also holds Six Sigma and ITIL certifications.



MIS IT Team

Directors' News

MIS Annual General Meeting

The third Annual Ordinary General Meeting of MIS shareholders was held in Dubai on 22nd April, during which the new Board was confirmed. Details of the agenda items discussed and the approved resolutions can be found in the meeting minutes on www.oslobors.no and www.miscotld.com



The MIS Board of Directors which consists of a rich mix of industry experts is composed of: Dr. Karim El Solh (Chairman), Mr. Kevin J. Hudson (Managing Director), Mr. Charles L. Davis, Mr. Jerry M. Smith, Mr. Abdul Salam El Zeidy, Mr. Ammar Al Khudairy, Mr. John O'Leary, Mr. Richard Dallas, Mr. Fadi Arbid and Mr. Tim Noonan, with Mr. Maroun Matar (Company Secretary and Legal Counsel)

MIS' Board of Directors visited the Sharjah yard for the February Board Meeting. In addition to a full meeting agenda the Board Directors were invited for a yard tour to see progress on the key projects.



New Alternate Director – Tim Noonan

Mr. Tim Noonan was elected as Alternate Director to the MIS Board for a term that runs until the next AGM.

Mr. Noonan joined Gulf Capital in 2008 as vice president in the private equity investment group. His extensive investment experience has focused primarily on consumer product and industrial manufacturing businesses.

2009 Annual Report – MIS phasing out printed version

With effect from 2011 MIS will discontinue the circulation of hard copy versions of its annual report and instead make it available on its website. This will result in substantial environmental and cost savings.



MIS Conferences, etc



MIS delegation at the Friede & Goldman reception at OTC 2010



NDC Familiarisation

Within a week of the signing of the NDC Al Bzoom contract in February the core project teams of both NDC and MIS met at the Sharjah Yard to prepare for the official kick off.



Renewable Conference

MIS' business development team attended the Wind Power Monthly conference in Jan 2010 in the UK.

Community, People, General News

MIS in the News



Thanks from MSF!

MIS' management is very grateful to all of its employees for once again showing their charitable nature in raising AED 35,775.00 to help the emergency relief effort and to provide emergency assistance to the people of Haiti following the earthquake.



Community, People, General News

Marketing store is launched!

The MIS Store was created by the Marketing Department for the benefit of value streams and branches. The store has a variety of MIS branded items such as corporate gifts which can be presented at events and official functions.

Digital samples of the products are available on our intranet www.livemis.ae



MIS tees off on the golf course

MIS' management team took part in a number of golf tournaments around the country including the IADC and the Wilhelmsen Shipping Golf Day which were held in March. As well as forging stronger relationships in the region, MIS' cumulative handicap seems also to be on the right track forward!

Getting in touch with softer skills

In addition to the training and development initiatives for executives at various levels (such as the EDP), MIS' Commercial Department, introduced monthly Soft-Skills Workshops. These sessions are designed to deliver focused learning on tools and skill-sets to empower the team in delivering consistent and high quality work results





MIS Flagship Yard | Sharjah, U.A.E

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